

M/S Panem Castings Pvt. Ltd. v. U.P. Power Corporation Ltd. & 3 Others

Allahabad High Court · Division Bench · 14 July 2014 · Writ - C No. 11502 of 2014 · **Writ petition allowed on the terms of Shokumbhari Pulp (2014 (4) ADJ 225); demand notice dated 03.02.2014 quashed**

HEADNOTE

Where a heavy consumer challenges a demand for the difference arising from giving the FY 2012-13 tariff retrospective effect from 1 October 2012 — the U.P. Electricity Regulatory Commission having determined it on 19 October 2012, the licensee having published it on 23 October 2012 and notified it on 25 October 2012 — and the controversy is conceded to be identical to M/s Shokumbhari Pulp & Paper Mills Ltd. v. U.P. Power Corporation Ltd. (Writ Petition No. 13514 of 2014, decided 1 April 2014, 2014 (4) ADJ 225), the writ is allowed on the same terms and conditions of that judgment. The demand notice dated 3 February 2014 is quashed. The Court did not independently restate Clause 3.8 of the U.P. Electricity Supply Code, 2005.

FACTUAL SUMMARY

M/s Panem Castings Pvt. Ltd., a heavy consumer of electricity, petitioned the Allahabad High Court against U.P. Power Corporation Ltd. and others, challenging a demand notice dated 3 February 2014 of respondent no. 3 and an order dated 31 January 2014 of respondent no. 4. The grievance was retrospective implementation of the revised FY 2012-13 tariff from 1 October 2012. The U.P. Electricity Regulatory Commission determined the tariff on 19 October 2012; it was published on 23 October 2012; the Corporation notified it on 25 October 2012, with effect from 1 October 2012. The company invoked Clause 3.8 of the U.P. Electricity Supply Code, 2005 — a new tariff comes into force only seven days after publication, so on 1 November 2012 — and said retrospective application was contrary to the Code and the Electricity Act.

On 21 February 2014 counsel for the Corporation stated that the connection would not be disconnected until 25 February 2014. On that date the Division Bench stayed the demand of the difference for 1 October 2012 to 1 November 2012 and directed that the connection not be disconnected for non-payment of the disputed amount if current bills were paid regularly.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::3.8

Writ against a demand applying the FY 2012-13 tariff from 1.10.2012 allowed on the terms of Shokumbhari Pulp; demand notice quashed

QUESTION

Where the controversy over giving the FY 2012-13 tariff retrospective effect from 1.10.2012 is conceded to be identical to Shokumbhari Pulp, is the consumer entitled to the same relief?

HOLDING

Yes. Counsel for the petitioner submitted that the controversy was identical to Writ Petition No. 13514 of 2014 (M/s Shokumbhari Pulp & Paper Mills Ltd. v. U.P. Power Corporation Ltd. & 3 others), decided 1.4.2014 and reported in 2014 (4) ADJ 225. Counsel for the respondents did not dispute that the controversy was squarely covered by that Division Bench judgment. The Court recorded that the applicability of the revised tariff rates finally determined by the U.P. Electricity Regulatory Commission on 19.10.2012, published on 23.10.2012 and notified on 25.10.2012, was the subject-matter of this writ as well. The writ was allowed on the same terms and conditions of that judgment, and the demand notice dated 03.02.2014 issued by respondent no. 3 was quashed. ¶ 14.7.2014

QUALIFIER

The Court did not independently construe Clause 3.8; it followed Shokumbhari Pulp as covering the same publication-and-notification controversy.

FLAG Three unnumbered order-sheets. 21.2.2014 (Vineet Saran and Attau Rahman Masoodi, JJ.) listed the writ and recorded an undertaking not to disconnect until 25.2.2014. 25.2.2014 (same Bench) recorded the Clause 3.8 submission that publication on 23.10.2012 meant the new tariff would come into force on 1.11.2012, stayed the 1.10.2012–1.11.2012 difference demand, and forbade disconnection for non-payment of the disputed amount if current bills were paid. 14.7.2014 (Krishna Murari and Ashwani Kumar Mishra, JJ.) is the disposal. The petition also challenged an order dated 31.1.2014 of respondent no. 4; the operative sentence quashes only the 3.2.2014 demand notice.

PRINCIPLE TAGS

tariff-no-retrospective-effect The writ against the 3.2.2014 demand for the difference on applying the FY 2012-13 tariff from 1.10.2012 was allowed on the terms of Shokumbhari Pulp, which had decided the same Commission-determination / 23.10.2012 publication / 25.10.2012 notification controversy; the demand notice was quashed. Lead authorities: *M/s Shokumbhari Pulp & Paper Mills Ltd. v. U.P. Power Corporation Ltd. & 3 others*. ¶ 14.7.2014

prima-facie-scrutiny-interim-protection-on-disputed-assessment Pending the writ, the 25.2.2014 Bench stayed the demand of the difference for 1.10.2012 to 1.11.2012 and directed that the connection not be disconnected for non-payment of the disputed amount if current bills were paid regularly. ¶ 25.2.2014

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — INDEPENDENT CONSTRUCTION OF CLAUSE 3.8 OF THE U.P. ELECTRICITY SUPPLY CODE, 2005

Invoked at the 25.2.2014 sitting for the seven-day publication rule (new tariff from 1.11.2012). The disposing Bench followed Shokumbhari Pulp without restating that construction. ¶ 25.2.2014, 14.7.2014

NOT DECIDED — THE ORDER DATED 31.1.2014 OF RESPONDENT NO. 4

Challenged in the petition with the 3.2.2014 demand notice; the operative sentence quashes only the demand notice, on the terms of Shokumbhari Pulp. ¶ 14.7.2014

NOT DECIDED — WHETHER THE ELECTRICITY ACT INDEPENDENTLY BARRED RETROSPECTIVE APPLICATION OF THE REVISED TARIFF

Invoked with the Supply Code at the 25.2.2014 sitting; not examined in the disposing order. ¶ 25.2.2014

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>M/s Shokumbhari Pulp & Paper Mills Ltd. v. U.P. Power Corporation Ltd. & 3 others</i> 2014 (4) ADJ 225 Allahabad High Court (DB)	Writ Petition No. 13514 of 2014, decided 1.4.2014, finally determined the controversy as to applicability of the revised tariff rates determined by the U.P. Electricity Regulatory Commission on 19.10.2012, published on 23.10.2012 and notified on 25.10.2012; an identical challenge is allowed on the same terms.		Petitioner	Followed

SCJ-3144 · M/S Panem Castings Pvt. Ltd. v. U.P. Power Corporation Ltd. & 3 Others · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.